

අධ්‍යක්ෂ මණ්ඩල පත්‍රිකාව - විධායක අධ්‍යක්ෂක මණ්ඩලය
Board Paper - Executive Board

රැස්වීම් අංකය: Meeting No :	194	පත්‍රිකා අංකය: Paper No:	01	දිනය: Date:	April 30 , 2026
පෙර අධ්‍යක්ෂ මණ්ඩල පත්‍රිකා යොමුව Previous Board Paper Reference		ECBM -194 BP 01			
අධ්‍යක්ෂ මණ්ඩල සාමාජිකයාගේ නම Name of the Board Member		Dr. Ishantha Siribaddana			
පත්‍රිකාවේ ශීර්ෂය Title of the Paper:		Phase II Expansion of “Sammā Upakāra – Easy Pay Education Investment Program” <i>(Scaling Capacity to 1,500 Students and Enhancing Maximum Facility Limit to LKR 2,000,000)</i>			
දෙපාර්තමේන්තුව හා අංශය : Department and Division:		Chairman's Secretariat			
අනුමැතිය සඳහා/Approval		yes	යෝජනාවක් හෝ අදහසක්/Suggestion or an Idea		අදාළ නැත
පසුබිම /Background Background The Board of Directors of TEMCO Development Banking Society Ltd has reviewed the proposal submitted by Management regarding the expansion of the <i>Sammā Upakāra – Easy Pay Education Investment Program</i> under Phase II; AND WHEREAS, the program has been successfully implemented under Phase I, demonstrating strong demand, high repayment discipline, and sustainable income generation; AND WHEREAS, the proposed expansion aims to increase annual capacity, enhance financing limits, broaden the product scope, and strengthen funding arrangements through structured partnerships and credit facilities; AND WHEREAS, the proposal is aligned with the strategic objectives of the Society, including financial inclusion, portfolio growth, and long-term sustainability; NOW THEREFORE, IT IS HEREBY RESOLVED THAT: 1. Program Expansion The Board hereby approves the expansion of the Sammā Upakāra – Easy Pay Education Investment Program to Phase II, increasing the annual financing capacity from 1,000 to 1,500 students .					

2. Enhancement of Facility Limit

The maximum loan facility under the program is hereby increased from **LKR 1,000,000 to LKR 2,000,000 per student**.

3. Product Structure Approval

The Board approves the following product parameters:

- Maximum Loan: **LKR 1,800,000**
- Tenure: **5 years**
- Repayment: **Immediate commencement (no grace period)**
- Interest Rate: **6% per annum (reducing balance)**

4. Pricing and Fee Framework

The Board approves the following pricing structure:

- Monthly Installment (Illustrative): **~ LKR 34,800**
- Monthly Administrative Fee: **LKR 500**
- Insurance Premium: **LKR 150 – 500**
- Compulsory Savings Contribution: **LKR 1,000 per month**
- Processing Fee: **LKR 5,000 (one-time)**

5. Expansion of Financing Scope

The Board approves the extension of financing coverage to include:

- Local and foreign university tuition fees
- Professional certifications and training programs
- Education-related equipment, including:
 - Laptops and high-performance computing devices
 - Technical kits and tools
 - Academic materials and digital subscriptions

Disbursement shall be made directly to approved institutions and vendors to ensure strict compliance with end-use requirements.

6. Foreign Payment Mechanism

The Board approves the implementation of a structured foreign payment mechanism as follows:

- Benchmark Payment: **GBP 1,300 per transaction**
- Reference Exchange Rate: **LKR 430/GBP (indicative)**
- Exchange Adjustment: Borrowers shall bear any **incremental exchange rate variations**, where applicable

7. Funding Structure Authorization

Management is hereby authorized to:

- Secure **additional funding lines and credit facilities**
- Negotiate with **existing and new institutional financiers**

- Maintain funding within an expected cost range of **2.0% – 2.25% per annum**

8. Partner Ecosystem Development

The Board authorizes Management to:

- Enter into formal agreements with **Education Agents**
- Establish partnerships with **Universities and Academic Institutions**
- Engage **Equipment Suppliers** under structured financing arrangements

All agreements shall be subject to appropriate governance, legal review, and compliance procedures.

9. Risk Management Framework Approval

The Board approves the implementation of a comprehensive risk management structure, including:

- Mandatory **Parent Guarantee**
- Additional **Employed Guarantor Requirement**
- Insurance coverage on the responsible party
- Controlled disbursement mechanisms
- Digital enforcement through **student portal access linked to repayment compliance**

The program is classified as a **“Secured-through-Control Lending Model.”**

10. Financial Framework Acknowledgment

The Board acknowledges the financial structure of the program:

- Total Portfolio Size: **LKR 2.7 Billion**
- Lending Rate: **6.0%**
- Cost of Funds: **2.0% – 2.25%**
- Net Interest Margin: **~3.75% – 4.0%**

Revenue streams shall include interest income, fee-based income, and savings mobilization.

11. Implementation Authority

Management is hereby authorized to:

1. Finalize operational and policy frameworks
2. Secure funding arrangements
3. Execute partnership agreements
4. Upgrade systems and operational infrastructure
5. Implement Phase II rollout in a controlled and phased manner
6. Monitor and report performance to the Board

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No Restriction from the By Law of the Bank Governance and Compliance

The program shall:

- Operate under TEMCO's credit policies and regulatory framework
- Be subject to **legal review and compliance clearance**
- Be monitored through **periodic Board reporting**, including:
 - Portfolio performance

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N/A		
මුදල් ඇස්තමේන්තුව/Finance Estimate	2.7 Billion	
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Approval		
විකල්ප නිර්දේශ/ Alternative Recommendations		
NA		
ක්‍රියාත්මක කිරීම සඳහා පියවර/Implementation Steps		
Approval from the Majority Extend the existing project to the proposed level		
විධායක සභාවේ අනුමැතිය /Approval from GM	අවශ්‍යය	අවශ්‍ය නොවේ ☒

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ආචාර්ය ඉෂාන්ත සිරිබද්දන මහතා/Dr.Ishantha Siribaddana